

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-22

GITI TIRE (USA) LTD.
Complainant

VERSUS

FLEXPORT INTERNATIONAL LLC,
Respondent

**GITI'S OPPOSITION TO FLEXPORT'S
MOTION FOR JUDGMENT ON THE PLEADINGS**

Complainant, Giti Tire (USA) Ltd. ("Giti" or "Complainant"), respectfully submits this memorandum in opposition to Respondent Flexport International LLC's ("Flexport" or "Respondent") Motion for Judgment on the Pleadings.

INTRODUCTION

Flexport's motion should be denied because:

- The Commission has already ruled against Flexport on the very issue presented in the instant motion when it found Giti's Amended Complaint sufficiently stated a cause of action; and
- Flexport improperly seeks judgment not "on the pleadings" as they appear in Giti's Amended Complaint, but rather on Flexport's own unverified allegations and its own arguments, both of which come from outside of Giti's pleadings.

Accordingly, Giti respectfully requests that Flexport's motion be denied.

LEGAL STANDARD

As Flexport acknowledges, the Commission's Rules of Practice and Procedure ("Rules") do not explicitly provide for motions for judgment on the pleadings, although Rule 12 provides that the Federal Rules of Civil Procedure apply in instances where there is no equivalent Commission rule and if consistent with sound administrative practice. 46 C.F.R. § 502.12. Thus, Flexport's motion is governed by Federal Rule of Civil Procedure 12(c).

Under Rule 12(c), judgment on the pleadings is appropriate only where all material facts are undisputed and where a judgment on the merits is possible merely by considering the contents of the pleadings.¹ Notably, "[a]lthough a motion for judgment on the pleadings under Rule 12(c) is separate and distinct from a motion to dismiss under Rule 12(b)(6), motions for judgment on the pleadings are still subject to the same standard of review as motions to dismiss under Rule 12(b)(6)."² The Commission has confirmed that evaluation of the two types of motions "is essentially the same."³ The Commission further explained:

On either motion, fact finders are to construe claims liberally, accept as true all well-pleaded facts, and draw all reasonable inferences in the complainant's favor. *Ashcroft v. Iqbal*, 556 U.S. 662, 663 (2009); *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 555 (2007). Although a fact finder "generally may not rely on facts 'outside' the pleadings in deciding [either] motion,...it may consider matters incorporated by reference or integral to the claim, items subject to judicial notice, and matters of public record." *United States v. All Assets Held at Bank Julius Baer & Co.*, 772 F. Supp. 2d 191, 197 (D.D.C. 2011) (internal citations omitted).⁴

¹ *Sellers v. M.C. Floor Crafters, Inc.*, 842 F.2d 639, 642 (2d Cir. 1988), citing *National Fidelity Life Ins. Co. v. Karaganis*, 811 F.2d 357, 358 (7th Cir. 1987).

² *Fountain v. Peterson*, No. 7:21-CV-120 (WLS), 2024 U.S. Dist. LEXIS 135779, at *5 (M.D. Ga. July 31, 2024), citing *Horsley v. Feldt*, 304 F.3d 1125, 1131 (11th Cir. 2002).

³ *Ovchinnikov v. Hitrinov*, 6 F.M.C.2d 106, 115 (FMC Feb. 8, 2023), citing *Schuchart v. La Taberna Del Alabardero, Inc.*, 365 F.3d 33, 35 (D.C. Cir. 2004); *Samuels v. Safeway, Inc.*, 391 F. Supp. 3d 1, 2 (D.D.C. 2019).

⁴ *Ovchinnikov v. Hitrinov* at 115-116.

A complaint attacked by a motion under Rule 12(c) will survive if it has enough facts to state a claim that is plausible on its face.⁵

Importantly with respect to Flexport's motion, "[f]or the 'purposes of this motion Defendant cannot rely on allegations of fact contained only in the [A]nswer, including affirmative defenses, which contradict [the][C]omplaint' because Plaintiff was 'not required to reply to Defendant's [A]nswer, and all allegations in the [A]nswer are deemed denied.'"⁶

Further, documents attached to an Answer may be considered for purposes of Rule 12(c) only if the document is central to the plaintiff's claim and the authenticity is not challenged.⁷ And, for purposes of a motion for judgment on the pleadings, "a document attached to an answer is presumed to have no veracity."⁸ "It is axiomatic, as it is for motions under Rule 12(b)(6) and as evidenced by countless judicial opinions, . . . that for purposes of the court's consideration of the Rule 12(c) motion, all of the well pleaded factual allegations in the adversary's pleadings are assumed to be true and all contravening assertions in the movant's pleadings are taken to be false."⁹ Indeed, "[t]he circumstances in which the court may grant a defendant's motion for judgment on the pleadings based on documents attached to an answer are narrow."¹⁰

⁵ *Fountain v. Peterson*, No. 7:21-CV-120 (WLS), 2024 U.S. Dist. LEXIS 135779, at *5 (M.D. Ga. July 31, 2024), citing *Ashcroft v. Iqbal*, 556 U.S. 662, 678, 129 S. Ct. 1937, 173 L. Ed. 2d 868 (2009).

⁶ *Brockman v. Am. Suzuki Motor Corp.*, No. 6:11-3381-TMC, 2012 U.S. Dist. LEXIS 112424, at *7-8 (D.S.C. Aug. 10, 2012), citing *Jadoff v. Gleason*, 140 F.R.D. 330, 332 (M.D.N.C. 1991); See also Fed.R.Civ.P. 8(b)(6) ("If a responsive pleading is not required, an allegation is considered denied or avoided.").

⁷ *Id.*; *Sartin v. Chula Vista, Inc.*, No. 18-CV-1890, 2019 U.S. Dist. LEXIS 109537, at *12 (E.D. Wis. July 1, 2019).

⁸ *Sartin*, 2019 U.S. Dist. LEXIS 109537, at *13-14.

⁹ Judgment on the Pleadings—Practice Under Rule 12(c), 5C Fed. Prac. & Proc. Civ. § 1368 (3d ed.))

¹⁰ *Sartin*, 2019 U.S. Dist. LEXIS 109537, at *12.

ARGUMENT

1. Flexport's motion already has been substantively denied.

The Commission should not entertain Flexport's proverbial second bite at the apple. Flexport already filed a motion to dismiss, which was denied when the Commission concluded that Giti's Amended Complaint sufficiently stated a claim.¹¹ In so doing, the Commission specifically stated that it would not accept any further filings relating to the motion to dismiss.¹² Yet, undeterred, Flexport promptly filed what is effectively the same motion under a different name. While technically titled differently, this motion seeks the same relief, which runs counter to the Commission's instructions that it would not accept more briefing on the issue, and which also runs counter to the Commission's Rules of Practice and Procedure that provide, "[a] repetitious motion will not be entertained."¹³

As courts repeatedly explain, a motion to dismiss and a motion for judgment on the pleadings are essentially the same motion, with the only difference being the timing of when they are filed (before or after an answer is filed).¹⁴ The standard for assessing the motions is the same, as both present the identical question of whether the complaint has stated a plausible claim for relief.¹⁵ Because the two motions apply the same standard to the same complaint, when a complaint

¹¹ Doc. 14.

¹² Doc. 12.

¹³ 46 CFR § 502.69(d).

¹⁴ *Barbusin v. E. Conn. State Univ.*, No. 3:05-CV-1171 (RNC), 2006 U.S. Dist. LEXIS 28083, at *3 (D. Conn. May 10, 2006).

¹⁵ See *Id.* ("A motion to dismiss for failure to state a claim filed after the pleadings have closed should be construed as a motion for judgment on the pleadings under Rule 12(c)). *Patel v. Contemporary Classics of Beverly Hills*, 259 F.3d 123, 126 (2d Cir. 2001); see also Fed. R. Civ. P. 12(h) (defense of failure to state a claim may be made in a motion for judgment on the pleadings, even if not pleaded as a defense in the responsive pleading or by motion to dismiss). The standard for granting a Rule 12(c) motion for judgment on the pleadings is the same as that for a Rule 12(b)(6) motion to dismiss for failure to state a claim. *Patel*, 259 F.3d at 126. 'In both postures, the district court must accept all allegations in the complaint as true and draw all inferences in the non-moving party's favor.'").

is found to have adequately stated a claim in response to a motion to dismiss the same finding should be equally applicable to a subsequently filed motion for judgment on the pleadings.

In short, Giti's Amended Complaint contains sufficient factual allegations to state a claim against Flexport. This already has been determined and is the law of the case per the Commission's denial of Flexport's motion to dismiss for failure to state a claim. Flexport's instant motion for judgment on the pleadings asks precisely the same question of whether Giti's Amended Complaint sufficiently states a cause of action. The answer – as we already know – is yes, the Amended Complaint states a plausible claim against Flexport. Flexport's motion for judgment on the pleadings must accordingly be denied.

2. Flexport cannot rely on the allegations of its Answer or its attached exhibits.

Flexport's motion is founded primarily on new information contained in its Answer and several attached documents that are not appropriate for consideration in connection with a motion for judgment on the pleadings. As the name denotes, the Commission should look only at the pleadings in assessing Flexport's motion (to the extent the Commission chooses to address the issue that already was determined in denying Flexport's duplicative motion to dismiss). For purposes of this motion, all of the allegations in Giti's Amended Complaint must be accepted as true and all inferences must be drawn in Giti's favor.¹⁶ Conversely, all contravening allegations in Flexport's answer must be treated as false.¹⁷

Additionally, the new OSRA Addenda attached as Exhibit C to Flexport's answer cannot be considered by the Commission because their authenticity is not established, nor is there evidence of whether they were ever actually received by Giti. Moreover, Flexport attached three

¹⁶ *Patel v. Contemporary Classics of Beverly Hills*, 259 F.3d 123, 126 (2d Cir. 2001).

¹⁷ *Sartin*, 2019 U.S. Dist. LEXIS 109537, at *13-14.

invoices purported to contain attached OSRA Addenda, when there are over 1,600 invoices at issue. Similarly, Flexport's Exhibit A purports to annotate Giti's exhibit based on information Flexport alleges was contained in OSRA Addenda that were themselves not incorporated into Giti's Amended Complaint and for which there is insufficient evidence to establish their authenticity and content. Consequently, all allegations contained in Flexport's answer and these attached exhibits cannot be considered in relation to the instant motion. Rather, the Commission must look at the allegations as pled by Giti in its Amended Complaint – which already have been held sufficient to state a cause of action.¹⁸

3. Flexport's arguments are simply defenses to Giti's properly pleaded claims.

Flexport's motion is nothing more than 20 pages of arguments asserting substantive defenses to Giti's claims. These are issues that should be addressed in the ordinary course after the completion of discovery – not at the pleading stage.

a. Flexport's deficient invoicing

Giti's Amended Complaint unquestionably states a claim for deficient invoicing. Giti attached a spreadsheet, Exhibit A, that identified hundreds of invoices that lacked the information required by OSRA. These factual allegations, when taken as true, state a claim for deficient invoicing under OSRA. Flexport raises several arguments in defense of this claim, but that is not the standard for a motion for judgment on the pleadings. The Commission only looks at the pleadings to determine if a claim was stated. The Commission did this and concluded that a claim was sufficiently stated.¹⁹ The case should now move on to the discovery phase.

¹⁸ Doc. 14.

¹⁹ *Id.*

Flexport argues that the allegations of Giti's Amended Complaint regarding the OSRA Addendum are false.²⁰ Such arguments are misplaced in the context of this motion, as all allegations must be accepted as true for purposes of a motion for judgment on the pleadings.

Flexport next introduces new evidence, asserting that it sent Giti additional OSRA Addenda that were not referenced in the Amended Complaint.²¹ This again is improper for its motion. The Commission cannot consider new evidence in assessing a motion for judgment on the pleadings. Nor can it consider documents that were not referenced in or incorporated into the Amended Complaint.

The only attachment to Flexport's answer that arguably could be considered is the OSRA Addendum attached as Exhibit B, as this was referenced in Giti's Amended Complaint. But consideration of this OSRA Addendum does not support Flexport's arguments. Flexport posits that the OSRA Addendum is sufficient to rectify its admitted invoicing deficiencies, citing to language in 80 Fed. Register 14341 that the required invoice information may be provided as an attachment to an invoice.²² The problem for Flexport is that the OSRA Addendum was not provided as an attachment to any invoice, nor was it incorporated into any invoice. It was sent to Giti long after the subject deficient invoices. The invoices themselves did not incorporate any OSRA addendum.

The FMC guidance is clear, "The required information may be included as an attachment to the invoice, as the statute simply requires that invoices "include" this information. In addition, § 541.6 states that an invoice must "contain" that information. As such, it is the Commission's position that this information may be included as an attachment, or otherwise incorporated." The

²⁰ Doc. 16 at p. 5.

²¹ *Id.* at p. 6.

²² *Id.*

invoices referenced in the subsequently provided OSRA Addendum do not “contain,” “attach,” or “incorporate” the OSRA-required information. Because this information must be included, incorporated, or attached to the invoice itself, Flexport’s belatedly issued addendum does not meet the statute’s requirements.

Further, Flexport argues that Giti’s claims are without merit because the charges may not be permanently eliminated if compliant invoices are later issued. This is not an appropriate argument to support a motion for judgment on the pleadings. Giti alleges that Flexport has not issued compliant invoices containing all the information required by OSRA. In such circumstances, as Flexport admits and even cites the relevant statutory language, the charged party’s obligation to pay the charges in such non-compliant invoices is eliminated.²³ Flexport’s assertion that it may be able to correct the deficiency in the future does not negate the viability of Giti’s claims currently.

In sum, Giti’s Amended Complaint plainly sets forth a plausible claim for deficient invoicing. That is all that is required to survive a motion for judgment *on the pleadings*. Flexport’s substantive defenses to the sufficiently pled claims are not properly addressed at this stage of the proceeding.

b. Unreasonable weekend and holiday detention and demurrage.

Giti’s Amended Complaint states a claim for unreasonable detention and demurrage charges on days when the port or terminal was not open to receive a container. Giti attached a spreadsheet, Exhibit B, that identified hundreds of invoices that that contained such charges, which

²³ *Id.* at p. 8; 46 U.S.C. § 41104(f).

are in violation of 46 U.S.C. § 41102(c).²⁴ These factual allegations, when taken as true, as they must, state a claim for violations of the Shipping Act.

Flexport does not challenge the fact that Giti's Amended Complaint states this plausible claim for relief or that it did, in fact, charge for these days when containers could not be returned. Rather, Flexport injects voluminous new facts as part of an argument seeking to justify its charges and create an exception to the Commission's interpretive guidance stating that imposition of such charges when containers cannot be returned are "likely to be found unreasonable."²⁵ For instance, Flexport asserts that Giti lacked any effort to return the containers. This, of course, is not in the Amended Complaint. To pursue such an argument, Flexport must develop actual admissible evidence through discovery or otherwise to support its defenses to the adequately plead claim.

Flexport's arguments amount to a defense to Giti's claim on the basis that its charges were reasonable and Giti's actions were unreasonable. A reasonableness inquiry is fact intensive and has been characterized as "a classic factual determination."²⁶ Accordingly, Flexport presents a substantive argument and requires a factual determination by the Commission. It is not an argument that the Amended Complaint fails to allege a plausible claim and is not appropriate for a motion for judgment *on the pleadings*.

Flexport correctly identified that some of the contested weekend and holiday charges predate the passage of OSRA 2022. This, however, does not impact the claims under this challenge to the reasonableness of the charges. The statutory prohibition against unreasonable charges and interpretative guidance explaining the incentive principle were not founded in OSRA 2022 and were already in the Shipping Act prior to 2022. Thus, this argument of Flexport is without merit.

²⁴ See 46 CFR § 545.5(c)(1).

²⁵ *Id.*

²⁶ *Microbot Med., Inc. v. Mona*, 688 F. Supp. 3d 88, 110 (S.D.N.Y. 2023).

Finally, Flexport's argument asserting that Giti is somehow estopped from challenging Flexport's improper demurrage charges is bizarre and without any legal foundation. This is likely why Flexport shoved it in a footnote buried on pages 8 and 9 of its motion.²⁷ The invoices that are the subject of Flexport's suit in the California District Court are also the subject of Giti's claimed violations in this proceeding. That is why the court stayed that action to allow an initial determination to be made in this proceeding. While this proceeding may encompass more invoices than the California case, there is nothing nefarious about Giti advising the California court that the invoices there are also in dispute here. Flexport's assertions that there is some admission or waiver that would estop the current action is wholly without merit.

c. Unjust and unreasonable duplicate charges.

Once again, Giti's Amended Complaint states a plausible claim regarding Flexport's unjust and unreasonable practice of charging for detention and demurrage when Giti already was charged for the same items by a motor carrier. And, once again, Flexport responds with substantive arguments that are not appropriate for a motion for judgment on the pleadings.

Flexport improperly argues new facts in support of its position. For instance, Flexport asserts that it retained and paid the motor carrier. This is not in the Amended Complaint. It is disputed information that should be the subject of discovery during the ordinary course of this proceeding. Flexport also takes issue with the fact that Giti did not specifically name the motor carrier in its Amended Complaint. Such specificity of the motor carrier, by name, is not a pleading requirement. It also is rightly the subject of discovery. Under the governing pleading standards, it is sufficient for Giti to identify the basis for its claim – which standard Giti met, as evidenced by the Commission's denial of Flexport's motion to dismiss.

²⁷ Doc. 16 at fn. 4.

Finally, Flexport takes issue with Giti correcting its allegations in the Amended Complaint.²⁸ This is yet another example of Flexport arguing solely for the sake of arguing. One of the primary purposes of amending a pleading, other than additional more detail, is to correct factual allegations. In fact, “Plaintiffs may ‘amend complaints to correct factual inadequacies in response to a motion to dismiss . . . even when the proposed amendment flatly contradicts the initial allegation.’”²⁹ Flexport’s arguments regarding this claim are without merit. The claim was sufficiently pled.

d. Flexport’s unjust and unreasonable excessive charges.

In response to Giti’s properly pled claim regarding Flexport’s unjust and unreasonable excessive charges, Flexport again responds with substantive arguments based on new facts from outside the pleadings. Flexport asserts that its charges were in accordance with market rates and introduces new evidence that was not included in or attached to the pleadings in support of its positions. Moreover, it handpicked several rates to which it unilaterally chose to compare its rates against. And it did so without Giti having the opportunity to question witnesses or introduce its own evidence in response. Such arguments are not appropriate for a motion for judgment on the pleadings. In the proceeding’s current posture, the Commission is tasked solely with deciding whether the Amended Complaint states a plausible claim such that the matter can proceed into the discovery phase. The Commission already made this finding in relation to Flexport’s motion to dismiss. The current task requires the Commission to apply the same evidence under the same standard – and the same result should be reached.

²⁸ *Id.* at p. 14.

²⁹ *Rose v. Mattress Firm, Inc.*, No. 21-1560, 2021 U.S. App. LEXIS 29790, at *6 (3d Cir. Oct. 4, 2021), citing *W. Run Student Hous. Assocs., LLC v. Huntington Nat’l Bank*, 712 F.3d 165, 172 (3d Cir. 2013).

CONCLUSION

For the foregoing reasons, Giti respectfully requests that the motion for judgment on the pleadings be denied.

Respectfully submitted,

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CERTIFICATE OF SERVICE

I certify that the foregoing was served via email on all counsel of record on October 18, 2024.

/s/ Michael Harowski

Michael A. Harowski